

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SOUTHERN INTERNATIONAL CO., LTD., *Complainant*

v.

DAYNAMEZ GROUP OF COMPANIES LLC, *Respondent*.

DOCKET NO. 25-24

Served January 16, 2026

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

ORDER ON RESPONDENT’S MOTION TO DISMISS AMENDED COMPLAINT

This matter came on for consideration of: 1) Respondent’s Motion to Dismiss the Formal Amended Complaint filed December 29, 2025 (“Motion”); 2) and Complainant’s Opposition to Respondent’s Motion to Dismiss the Amended Formal Complaint (“Opposition”). (Dkt. 13 and 14.) For the reasons set forth below: 1) Respondent’s motion to dismiss the original complaint filed August 26, 2025, is **DENIED** on the ground that it was rendered moot by the amended complaint (Dkt. 7, 11); 2) Respondent’s motion to dismiss the amended complaint is **GRANTED** as to Complainant’s claims under 46 U.S.C. §§ 41102(a) and 41102(b), and those claims are dismissed for the reasons set forth below; and 3) a ruling on Respondent’s motion to dismiss the amended complaint as to Complainant’s claims under 46 U.S.C. §§ 40901, 40902, and 41102(c) is **DEFERRED** to provide Complainant an opportunity to file a second amended complaint to address the deficiencies set forth in this order.

I. INTRODUCTION

On August 26, 2025, Complainant filed a complaint alleging violations of 46 U.S.C. §§ 41102(c); 41104(2); 41104(3); and 41105(1). (Dkt. 1.) On September 23, 2025, Respondent filed a motion to dismiss the complaint. (Dkt. 7.) On December 1, 2025, I issued an Order on Respondent’s Motion to Dismiss and Respondent’s Motion to Strike, in which I deferred ruling on the motion to dismiss to allow Complainant an opportunity to file an amended complaint addressing the pleading deficiencies specified in the order. (Dkt. 10.) Complainant filed an Amended Formal Complaint on December 10, 2025. (Dkt. 11.) On December 29, 2025, Respondent filed Respondent’s Motion to Dismiss the Formal Amended Complaint. (Dkt. 13.) On January 12, 2026, Complainant filed Complainant’s Opposition to Respondent’s Motion to Dismiss the Amended Formal Complaint. (Dkt. 14.)

Complainant alleges in the amended complaint that it is a limited liability company and ocean transportation intermediary organized and operating under the laws of Vietnam with

its principal place of business located in Ho Chi Minh City, Vietnam. (Amended Complaint ¶ 1.) Complainant alleges that Respondent is a limited liability company organized and operating under the laws of the state of Virginia with its principal place of business located in Fairfax, Virginia. (Amended Complaint ¶ 3.) Complainant alleges that Respondent acted functionally as a Non-Vessel Operating Common Carrier (“NVOCC”) by holding itself out to provide transportation for compensation and assuming responsibility for the shipment of goods from Vietnam to the United States. (Amended Complaint ¶ 4.) Complainant alleges that Respondent’s Shipping Act violations include:¹ 1) 46 U.S.C. § 40901 and 40902 (unlicensed NVOCC operations); 2) 46 U.S.C. § 41102(a) (false or misleading representations in the sale or provision of transportation services); 3) 46 U.S.C. § 41102(b) (unfair or deceptive business practices); and 4) 46 U.S.C. § 41102(c) (failure to establish, observe, and enforce just and reasonable regulations and practices relating to receiving, handling, storing, or delivering property.) (Amended Complaint ¶ 8.)

II. ARGUMENT OF THE PARTIES

Respondent argues in its motion to dismiss that the amended complaint is deficient for the following reasons: 1) the Commission lacks jurisdiction because Respondent was not acting as an NVOCC, Ocean Freight Forwarder (“OFF”), or Common Carrier (Motion ¶¶ 3-16); 2) no actions constituting Shipping Act violations are alleged (Motion ¶¶ 17-25); and 3) the allegations in the amended complaint constitute contract violations rather than violations of the Shipping Act. (Motion ¶ 17.)

Complainant argues in its opposition that: 1) the Amended Complaint cured the deficiencies identified in the order on motion to dismiss the complaint (Opposition ¶ 1.1); 2) Paragraph 23 of the Amended Complaint alleges specific facts underlying the alleged violations by reference to Exhibit B, which identifies 558 shipments by bill of lading number and other detailed information for which Respondent failed to make payment to booking partners despite that Complainant had paid sea freight to Respondent pursuant to an agency agreement attached to the original complaint (Opposition ¶¶ 1.2, 1.3); 3) the FMC has jurisdiction over this proceeding because Respondent functionally served as a common carrier by accepting cargo, issuing invoices in its own name, and assuming responsibility for the transportation of cargo from Vietnam to the United States (Opposition ¶ 2.1); 4) Respondent held itself out as a common carrier by advertising on its website that it is an NVOCC and quoting Net/Net rates in email communications attached as Exhibit A to the Amended Complaint, which implies that Respondent is buying space from the ocean carrier and reselling it to Complainant at an all-in rate to profit from the spread rather than acting as a transparent agent receiving a fixed commission (Opposition ¶ 2.1(a)); 5) Respondent exercised functional control over the delivery process by acting as the sole intermediary that received freight payments from Complainant, was responsible for remitting those funds and coordinating release with the ocean carriers, and that Complainant incurred demurrage, detention, and commercial losses as a result of Respondent’s failure to transmit payment and facilitate the release of transport documents after accepting full freight charges (Opposition ¶ 2.1(b)); 6) the Shipping Act governs inbound cargo because 46 U.S.C. § 40102(7)(A) defines common carriage as transportation between the United States and

¹ The parenthetical descriptions of the violations are quoted verbatim from the amended complaint.

a foreign country (Opposition ¶ 2.2); and 7) the FMC had jurisdiction over the Shipping Act violations alleged even though a contract dispute may also exist. (Opposition ¶¶ 3, 4, 5.)

III. DISCUSSION

A. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Commission Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, lack of subject matter jurisdiction (12(b)(1)), lack of personal jurisdiction (12(b)(2)), and failure to state a claim (12(b)(6)). FED. R. CIV. P. 12; *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011).

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (citation omitted). Thus:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 678] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Dkt. No. 09-01, 2011 WL 7144008, at *12 (FMC Aug. 1, 2011). As the Commission has explained:

Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, while a complaint need not plead detailed factual allegations, the factual allegations it does include must be enough to raise a right to relief above the speculative level and to nudge . . . claims across the line from conceivable to plausible. This plausibility standard is not akin to a probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. . . . Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.

Cornell, 2014 WL 5316340, at *6-7 (internal quotation marks and citations omitted); *see also Maher*, 2015 WL 9426189, at *12 (“[m]ere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’”).

Commission precedent establishes that federal case law interpreting Rule 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss in Commission proceedings. *Maher*, 2015 WL 9426189, at *6; *Cornell*, 2014 WL 5316340, at *6; *Mitsui*, 2011 WL 7144008, at *12.

B. Jurisdiction

“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R. 394, 396, 2001 FMC LEXIS 7 at *9 (ALJ Sept. 20, 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406, 2019 FMC LEXIS 44 at *10 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). The Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Id.* The Commission's obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006). Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant. *MCS Industries*, 2024 WL 95383, at *7.

Chapter 411 of Part A, Subtitle IV, of Title 46 contains the codification of “Prohibitions and Penalties” under the Shipping Act, amended and codified, at 46 U.S.C. §§ 41101 through 41110. Section 41102 sets forth certain “General Prohibitions” while other sections in Chapter 411 address prohibitions specific to certain categories of entities regulated under the Shipping

Act. For example, Section 41104 prohibitions are applicable to “Common Carriers” and Section 41106 prohibitions are applicable to “Marine Terminal Operators.”

Thus, the Commission has jurisdiction over specified regulated entities that include, *inter alia*, ocean common carriers (“OCC”) and NVOCCs. (*See, e.g.*, 46 U.S.C. §§ 40102(7), 40102(17), 41102(c), 41104(2), 41104(3), and 41105(1)). A common carrier is:

a person that: holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

46 U.S.C. § 40102(7).

A NVOCC is a common carrier that does not operate the vessels by which the ocean transportation is provided; and is a shipper in its relationship with the ocean common carrier. 46 U.S.C. § 40102(17). Although NVOCCs usually do not own or operate vessels that actually carry the cargo, they lease facilities and services from other firms—making them the “common carrier[s]” responsible for transportation of the cargo from origin to destination. *Landstar Express America, Inc. v. FMC*, 569 F.3d 493, 495 (D.C. Cir. 2009) (citation omitted).

In addition, there must be a link between the respondent's regulated status and the conduct that allegedly violates the Shipping Act. *Auction Block Co. v. Fed. Mar. Comm'n*, 606 Fed. App'x. 347, 347-48 (9th Cir., 2015); *see also Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (remanding proceeding) (“The central question in this case is whether, and when, Marine Transport was a regulated entity - common carrier, marine terminal operator, or OTI - with respect to the conduct at issue.”)

In order for an entity to operate as an NVOCC, the entity must meet the Shipping Act's definition of a common carrier. Specifically, it must hold itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation, assume responsibility for the transportation from the port or point of receipt to the port or point of destination, and use for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. 46 U.S.C. § 40102(7); *see also MAVL Capital Inc. v. Marine Transport Logistics and Dmitry Alper*, 2020 FMC LEXIS 216, *8, FMC Docket No. 16-16, Memorandum Opinion and Order (“FMC Order”) at 11 (FMC Oct. 29, 2020).

The Commission has found that no single factor of an entity's operation is determinative of its status as a common carrier. *Rose Int'l, Inc. v. Overseas Moving Network Int'l Ltd., et al.*, 29 S.R.R. 119 (FMC 2001). In *Rose*, the Commission made the following statement about determinations of common carrier status:

[T]he Commission must evaluate the indicia of common carriage on a case-by-case basis....The most essential factor is whether the carrier holds itself out to

accept cargo from whoever offers to the extent of its ability to carry, and the other relevant factors include the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and method of establishing and charging rates.

Id. at 162 (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (FMC 1999), and *Tariff Filing Practices, Etc., of Containerships, Inc.*, 9 F.M.C. 56, 62-65 (FMC 1965)).

In addition, the Commission has said that factors such as solicitation and advertising are relevant to a determination whether an entity is holding out to the public as a provider of transportation services. *Tariff Filing Practices, Etc., of Containerships, Inc.*, 9 F.M.C. at 62 n.7. The Commission also clarified that a common carrier does not lose common carrier status if it uses shipping contracts other than bills of lading. *Id.* at 64.

In this case, the amended complaint contains an insufficient factual predicate in support of the allegation that Respondent held itself out as an NVOCC. The relevant allegations include²:

- Respondent engages in the business of providing ocean transportation and logistics services. Although Respondent describes itself as an "agent," in its transactions with Complainant, Respondent acted functionally as an NVOCC by holding itself out to provide transportation for compensation and assuming responsibility for the shipment of goods from Vietnam to the United States.
*Note: Please check Exhibit A³ (Amended Complaint ¶ 4).
- The Commission has personal jurisdiction over the Respondent because, as stated in Paragraph 4 above, Respondent acted functionally as a common carrier subject to the Shipping Act. Specifically, Respondent:
 - a. Held itself out to SIC and the public as a provider of ocean transportation;
 - b. Assumed legal and financial responsibility for the transportation of cargo; and
 - c. Utilized ocean common carriers to execute the movement of goods while acting as the shipper in relation to those carriers*Note: Please check Exhibit B⁴ (Amended Complaint ¶ 7).

² The statements “*Note: Please check Exhibit A” at Amended Complaint ¶ 4 and “*Note: Please check Exhibit B” at Amended Complaint ¶ 7 are verbatim quotes from the pleading.

³ Exhibit A contains two types of documents that are not authenticated. The first appears to be an undated screenshot from the daynamez.com website. The second consists of 14 pages of email communications between kamali@daynamez.com and various other unknown email addresses, many of which have “southern” as part of the email address.

⁴ Exhibit B consists of two documents. The first is a summary of 13 payments alleged to have been paid to Daynamez totaling \$2,615,650.87 and includes the following headings: Payment date, Bank slip No., Due to Daynamez, Due to Southern, Actual paid Daynamez, Actual paid Daynamez – not release yet, and Note. The second is a list titled “558 Shipments Affected” and includes the following headings: STT, Booking, Bill of Lading, 20 DC, 40 HC, POL, POD, EST, ET, Bank Slip No., Date, and Amount. The last page also contains sub-total and total amounts of \$2,615,650.97.

- Between October and December 2023, Mr. Kamali and Daynamez established a working relationship with SIC. (Amended Complaint ¶ 9.)
- Respondent represented to SIC that it had strong ties with a major logistics partner in Rotterdam and close relationships with numerous shipping lines. (Amended Complaint ¶ 10.)
- Based on these representations, Respondent promised to offer competitive market prices for shipments from Vietnam to the U.S. and Europe. (Amended Complaint ¶ 11.)
- Relying on these assurances, SIC entered into an agreement titled "Agency Agreement" (No. SIC/DNM-011224) with Respondent on December 1, 2023.⁵ (Amended Complaint ¶ 12.)
- Under the operational workflow established by Respondent, SIC was responsible for sourcing customers in Vietnam and collecting sea freight charges. (Amended Complaint ¶ 13.)
- SIC was required to transfer the collected sea freight to Respondent within five (5) working days of the vessel's departure from the Vietnamese port. (Amended Complaint ¶ 14.)
- Respondent assumed the sole responsibility for making payments to the downstream logistics partners and ocean carriers. (Amended Complaint ¶ 15.)
- In September 2024, Respondent designated specific agents, including Cargo Login LLC, Mahasagar Forwarders Pvt Ltd, and Kargosmart Global USA Inc., as its "booking partners." (Amended Complaint ¶ 16.)
- While Respondent claimed these entities were agents, the actual issuance of bookings and Bills of Lading was carried out by Vietnamese agents: Super Cargo Service Co., Ltd. ("Super Cargo Vietnam") and Kargosmart Global Vietnam Co., Ltd. ("Kargosmart Vietnam"). (Amended Complaint ¶ 17.)
- In mid-October 2024, Respondent informed SIC that it would cease making payments to booking parties, citing a depletion of operating funds. (Amended Complaint ¶ 22.)

⁵ The agency agreement is neither attached as an exhibit to the Amended Complaint nor incorporated by reference despite that it was attached as Exhibit 2.1 to the original complaint, which was not verified in accordance with 46 C.F.R § 502.6. The Amended Complaint is properly verified and had Complainant incorporated the agency agreement attached to the original complaint by reference, it would have been sufficient. But it did not, and for this reason I decline to consider it on the ground that the original complaint was legally insufficient due to the absence of the required verification and any exhibit thereto is legally insufficient for the same reason.

- This cessation occurred despite Respondent having already received \$2,415,650.87 from SIC specifically designated for the sea freight of 558 containers (detailed in the list attached to the Formal Complaint). (Amended Complaint ¶ 23.)
- Respondent holds itself out as an NVOCC, accepts freight charges, controls HBLs process, or arranges ocean transportation without FMC registration, it violates 46 U.S.C. §40901 & §40902. (Amended Complaint ¶ 33.)

I find that the Amended Complaint is insufficient to establish that Respondent held itself out as an NVOCC because it does not contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). I also find that the Amended Complaint lacks “factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 678] (2009).

The facts alleged in the Amended Complaint do not make out a plausible claim that Respondent: (1) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (2) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (3) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country in accordance with 46 U.S.C. § 40102(7).

Rather, it is unclear from the Amended Complaint what services, if any, Respondent agreed to provide to Complainant with respect to the 558 shipments at issue or whether Respondent held itself out as an NVOCC. Notably, the Amended Complaint establishes that one indicia of holding oneself out as an NVOCC, namely issuing bills of lading, is not applicable to Respondent because Complainant asserts that the bills of lading with respect to the shipments at issue were issued by Super Cargo Service Co., Ltd, and Kargosmart Global Vietnamese Co., Ltd. (Amended Complaint ¶ 17.)

Although Complainant’s opposition to the motion to dismiss attempts to cure the pleading deficiencies by arguing, inter alia, that the attachments to the Amended Complaint show that Respondent held itself out as an NVOCC, I find that counsel’s argument in its brief is just that – argument – and does not fulfill the requirement that a complainant make out a plausible claim for relief in its pleadings in order to survive a motion to dismiss. *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007); *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009).

Moreover, I reject the argument in the opposition to motion to dismiss that the exhibits to the Amended Complaint establish that Respondent advertised itself as an NVOCC on its website and quoted Net/Net rates in multiple email communications on the ground that they should be excluded from consideration because they constitute unauthenticated hearsay. (Opposition 6.) The only reference to the referenced documents

is made in paragraph 4 of the Amended Complaint, which states “*Note: Please check Exhibit A” at the ending of the paragraph alleging that Respondent held itself as an NVOCC. As described more fully in footnote 1 above, Exhibit A appears to contain an undated screenshot from Respondent’s website and email communications between Respondent’s representative and unknown parties. There are no allegations in the complaint to establish the authenticity or the reliability of the documents. Accordingly, I find that it is inappropriate to take official notice of the content of Exhibit A and am excluding it from consideration for purposes of the motion to dismiss.

Notwithstanding the forgoing, based on the argument in the Opposition that there is evidence that Complainant held itself out as an NVOCC, I find that it is appropriate to give the Complainant the opportunity to amend its pleading a second time in order to make out a plausible claim that Respondent held itself out as an NVOCC. This decision is made in light of the Commission’s recent decision in *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, 2025 WL 2207363 (FMC 2025.)

In *Samsung Electronics*, the Commission affirmed the ALJ’s order granting a motion to dismiss for failure to set forth a plausible claim under Section 41102(a), but remanded on the ground that the ALJ improperly denied Complainant’s request for leave to file an amended complaint as alternate relief. *Id.*, at *11-12. The Commission’s remand is based, in part, on a finding that arguments made in Complainant’s brief suggested that amendment would not be futile despite that it was not clear that they were sufficient to make out a plausible claim for relief. *Id.*, at *12. Based on the argument in the Opposition that there are facts to support a finding that Respondent held itself out as an NVOCC, I find that granting Complainant a second opportunity to amend the complaint to set forth a plausible claim for relief would not be futile.

Although Complainant did not expressly request entry of an order granting leave to amend as alternative relief, it did request “such further relief as the Commission determines to be proper” in its prayer for relief in Section 7 of the Amended Complaint. I find that this request is sufficiently broad to encompass entry of an order granting leave to amend.

C. Section 40901

46 U.S.C. § 40901 provides:

(a) In General.—

A person in the United States may not advertise, hold oneself out, or act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary’s license issued by the Federal Maritime Commission. The Commission shall issue a license to a person that the Commission determines to be qualified by experience and character to act as an ocean transportation intermediary.

(b) Exception.—

A person whose primary business is the sale of merchandise may forward shipments of the merchandise for its own account without an ocean transportation intermediary’s license.

(c) Applicability.—

Subsection (a) and section 40902 do not apply to a person that performs ocean transportation intermediary services on behalf of an ocean transportation intermediary for which it is a disclosed agent.

With respect to the factual predicate in support of the violation of 46 U.S.C. § 40901, the amended complaint alleges: “Respondent holds itself out as an NVOCC, accepts freight charges, controls HBLs process, or arranges ocean transportation without FMC registration.” (Amended Complaint ¶ 33.)

For the reasons discussed above, the Amended Complaint fails to set forth a plausible claim that Respondent holds itself out as an NVOCC. Thus, the bald assertion that Respondent holds itself out as an NVOCC without FMC registration fails to make out a plausible claim under Section 40901. This fact notwithstanding, I find that it is appropriate to grant Complainant an opportunity to amend the complaint a second time to assert a plausible claim under Section 40901 on the ground that it is not clear that amendment would be futile.

D. Section 40902

46 U.S.C. § 40902 provides in pertinent part:

(a) In General.—A person may not advertise, hold oneself out, or act as an ocean transportation intermediary unless the person furnishes a bond, proof of insurance, or other surety—

(1) in a form and amount determined by the Federal Maritime Commission to insure financial responsibility; and

(2) issued by a surety company found acceptable by the Secretary of the Treasury.

(b) Scope of Financial Responsibility.—A bond, insurance, or other surety obtained under this section—

(1) shall be available to pay any penalty assessed under section 41109 of this title or any order for reparation issued under section 41305 of this title;

(2) may be available to pay any claim against an ocean transportation intermediary arising from its transportation-related activities—

(A) with the consent of the insured ocean transportation intermediary and subject to review by the surety company; or

(B) when the claim is deemed valid by the surety company after the ocean transportation intermediary has failed to respond to adequate notice to address the validity of the claim; and

(3) shall be available to pay any judgment for damages against an ocean transportation intermediary arising from its transportation-related activities, if the claimant has first attempted to resolve the claim under paragraph (2) and the claim has not been resolved within a reasonable period of time.

With respect to the factual predicate in support of the violation of 46 U.S.C. § 40902, the amended complaint alleges: “Respondent holds itself out as an NVOCC, accepts freight charges, controls HBLs process, or arranges ocean transportation without FMC registration.” (Amended Complaint ¶ 33.)

The amended complaint does not contain any allegation that Respondent failed to obtain the bond contemplated by Section 40902. Despite this fact, I find that the allegation that Respondent arranges ocean transportation without FMC registration creates an inference that Respondent lacks a bond that would have been required to obtain an FMC license.

For the reasons discussed above, the Amended Complaint fails to set forth a plausible claim that Respondent holds itself out as an NVOCC. Thus, the bald assertion that Respondent holds itself out as an NVOCC without FMC registration fails to make out a plausible claim under Section 40902. This fact notwithstanding, I find that it is appropriate to grant Complainant an opportunity to amend the complaint a second time to assert a plausible claim under Section 40902 on the ground that it is not clear that amendment would be futile.

E. Section 41102(a)

46 U.S.C. § 41102(a) provides:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

46 C.F.R. § 545.2 provides:

An essential element of the offense is use of an “unjust or unfair device or means.” In the absence of evidence of bad faith or deceit, the Federal Maritime Commission will not infer an “unjust or unfair device or means” from the failure of a shipper to pay ocean freight. An “unjust or unfair device or means” could be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.

Three elements are necessary to establish a claim under § 41102(a): “(1) knowing and willful conduct; (2) through which, either ‘directly or indirectly,’ by means of the actions enumerated in the statute or through ‘any other unjust or unfair device or means;’ (3) respondent obtained or attempted to obtain ocean transportation at lesser rates.” *Rana v. Franklin*, Dkt. No. 19-03, 2022 WL 1744905, *7 (FMC May 25, 2022).

Regarding the first element, knowing and willful conduct, the complainant must show that the respondent had “‘knowledge of the facts of the violation’ and acted either intentionally or with ‘reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence.’” (*Rana*, 2022 WL 1744905, at *8 (citations omitted)).

The second element “is established if the respondent used false billing or misclassification, or any other ‘unjust device or means’ to obtain ocean transportation at less than otherwise applicable rates.” (*Rana*, 2022 WL 1744905, at *8 (citations omitted)). When a party alleges an “unfair device” other than one of the “false” examples in the statute, “some type of ‘fraud or concealment’ comparable to those examples is required.” (July 30 Order, at 9); *see also Rose Int’l Inc. v. Overseas Moving Network Int’l, Ltd.*, Dkt. No. 96-05, 2001 WL 865798, *58 (FMC Jun. 1, 2001) (stating that “some kind of fraud or concealment” is required to satisfy the “unfair device or means” requirement). The fraud or concealment “must be the *means by which* the respondent obtained or tried to obtain lower rates.” (*Rana*, 2022 WL 1744905, at *8 (citation omitted)).

“Finally, the third element is established by showing that respondent obtained or tried to obtain ocean transportation for less than the otherwise applicable rates.” (*Rana*, 2022 WL 1744905, at *9 (citation omitted)).

With respect to the alleged violation of 46 U.S.C. § 41102(a), the amended complaint fails to set forth a plausible claim for relief. In support of its claim that Respondent violated Section 41102(a), the only allegation specifically referencing that statutory provision is that “Respondent claims to have ‘major partners in Rotterdam who can purchase bookings at cheap prices,’ when in reality they have no such partners.” (Amended Complaint ¶ 34.) That Respondent may have misrepresented the existence of partners able to book at cheap prices does not create a plausible claim that it obtained or attempted to obtain transportation at rates lower than would otherwise apply. The amended complaint lacks any assertion whatsoever that Respondent obtained or attempted to obtain ocean transportation for property. Rather, the amended complaint alleges that the parties entered into an agency agreement of unspecified terms pursuant to which Complainant collected freight from customers and paid it over to Respondent who “assumed the sole responsibility for making payments to downstream logistics partners and ocean carriers,” but failed to do so and that Complainant suffered monetary damages as a result. (Amended Complaint ¶¶ 9 to 31.)

Given that the amended complaint summarizes a violation under Section 41102(a) as “False or misleading representations in the sale or provision of transportation services,” it appears that Complainant fails to recognize that the prohibited conduct requires a respondent to obtain or attempt to obtain ocean transportation for property at rates or charges less than would otherwise apply and is not a general prohibition against misrepresentation in the sale or provision of transportation services. (Amended Complaint ¶ 8b.)

Regardless, the allegations in the amended complaint are insufficient to constitute a plausible claim that Respondent acted to “obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply” in violation of 46 U.S.C. § 41102(a). Accordingly, the Section 41102(a) claim is dismissed.

F. Section 41102(b)

Section 41102(b), titled “Operating Contrary to Agreement,” states: “A person may not operate under an agreement required to be filed under section 40302 or 40305 of this title if . . . (2) the operation is not in accordance with the terms of the agreement or any modifications to the agreement made by the Federal Maritime Commission.” 46 U.S.C. § 41102(b).

Sections 40302 and 40305 govern agreements “between or among ocean common carriers,” “between or among marine terminal operators, or between or among one or more marine terminal operators and one or more ocean common carriers,” and assessment agreements. *See* 46 U.S.C. § 40301.

The term ocean common carrier “means a vessel-operating common carrier.” 46 U.S.C. § 40102(17). The term marine terminal operator “means a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49 [49 U.S.C. § 13521].” 46 U.S.C. § 40102(14).

The amended complaint does not allege that either the Complainant or the Respondent is an ocean common carrier or a marine terminal operator. The amended complaint alleges that Complainant is a freight forwarder and registered with the FMC as an Ocean Transportation Intermediary (“OTI”). (Amended Complaint ¶ 2.) The amended complaint alleges that Respondent acted functionally as an NVOCC. (Amended Complaint ¶ 4.) With respect to the factual predicate underlying the alleged violation of Section 41102(b), the amended complaint alleges that “Respondent’s acceptance of funds with the knowledge or intent that it would not pay the underlying carriers constitutes an unjust or unfair device or means to obtain transportation in violation of 46 U.S.C. § 41102(b).” (Amended Complaint ¶ 35.)

The amended complaint does not allege that this proceeding involves a contract between or among ocean common carriers. Rather, the amended complaint alleges that the parties executed an agency agreement between themselves and describes Complainant as a freight forwarder/OTI and Respondent as a functional NVOCC. (Amended Complaint ¶¶ 2, 4, 12). This type of contract is not required to be filed under Sections 40302 and 40305. The allegations in the amended complaint are insufficient to constitute a plausible claim that Respondent was required to file an agreement pursuant to 46 U.S.C. § 41102(b). Accordingly, the Section 41102(b) claim is dismissed.

G. Section 41102(c)

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Because section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries, to violate it, an entity must be a common carrier, marine terminal operator, or an ocean transportation intermediary within the meaning of

the Shipping Act. The Shipping Act defines two types of ocean transportation intermediaries: "Ocean freight forwarders" and "non-vessel-operating common carriers." 46 U.S.C. § 40102(19).

On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 FED. REG. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Pursuant to Rule 545.4, to establish a violation of § 41102(c), a complainant must demonstrate that: (1) the respondent is a regulated entity; (2) the claimed acts or omissions occurred on a normal, customary, and continuous basis; (3) the practice or regulation is connected with receiving, handling, storing, or delivering property; (4) the practice or regulation is unjust or unreasonable; and (5) the practice or regulation is the proximate cause of the claimed loss.

As set forth above, the amended complaint contains an insufficient factual predicate in support of the allegation that Respondent held itself out as an NVOCC. The amended complaint does not allege that Respondent is either a freight forwarder or marine terminal operator. Moreover, because Exhibit B containing the list of 558 shipments shows that the shipments in this case moved from Vietnam⁶ to the United States, I find that Respondent was not acting as a freight forwarder with respect to the shipments at issue because by definition a freight forwarder "in the United States dispatches shipments from the United States via common carrier..." 46 U.S.C. § 40102(19). For these reasons, I find that Complainant has failed to establish that first element under Rule 545.4, namely that Respondent is a regulated entity. Despite this fact, for the reasons discussed above, I find that it would not be futile for Complainant to establish that Respondent is a regulated entity.

⁶ Exhibit B to the Amended Complaint lists the port of loading ("POL") as HCM, which refers to Ho Chi Min City, or HPH, which refers to Port of Haiphong, or DAD, which refers to Da Nang, all of which are located in Vietnam.

With respect to the second element that the claimed acts or omissions occurred on a normal, customary, and continuous basis, the amended complaint alleges that the acts complained of occurred with respect to the 558 shipments of cargo identified in Exhibit B. (Amended Complaint ¶ 23.) I find that this is sufficient to create a plausible claim that the conduct complained of occurred on a normal, customary, and continuous basis.

With respect to the third element that the practice or regulation complained of is connected with receiving, handling, storing, or delivery property, the amended complaint alleges that Complainant collected and transferred freight charges from customers, that these payments were transferred to Respondent within five working days of the vessel's departure from the Vietnamese Port, that Respondent assumed sole responsibility for making payments to the downstream logistics partners and ocean carriers, but that Respondent ceased making payments to booking parties on the 558 shipments at issue. (Amended Complaint ¶¶ 13-23.) Complainant alleges that as a result of this conduct that numerous shipments to the U.S. and Europe were detained and cargo was held by the booking parties. I find that these allegations are sufficient to make out a plausible claim that the acts complained of are connected to the handling and delivery of property.

With respect to the fourth element that acts complained of constitute an unjust or unreasonable practice or regulation, Complainant asserts that Respondent's failure to remit payments to carriers, despite having collected the freight and funds from Complainant, constitutes an unjust and unreasonable practice in violation of 46 U.S.C. § 41102(c). (Amended Complaint ¶ 36.) I find that these allegations are sufficient to make out a plausible claim that Respondent engaged in an unreasonable practice with respect to the shipments at issue.

With respect to the fifth element that the practice or regulation is the proximate cause of the claimed loss, Complainant asserts in the amended complaint that its damages include: \$2,425,650.87 in freight payments that Complainant paid to Respondent that were not paid to the relevant carriers; \$149,990.00 that Complainant paid directly to Super Cargo Vietnam on Respondent's behalf that was never returned or credited; and \$50,000 that Complainant paid to Kargosmart Vietnam on Respondent's behalf that has been retained. (Amended Complaint ¶ 39.) I find that these allegations are sufficient to make out a plausible claim that Complainant's damages are proximately caused by the unreasonable practices alleged.

Thus, I find that with the exception of the first element requiring Complainant to establish that the Respondent is a regulated entity, the amended complaint sets forth a plausible claim as to the remaining four elements set forth in 46 U.S.C. 41102(c).

Because the amended complaint sets forth plausible claims for violations under the Shipping Act over which the FMC has exclusive jurisdiction as discussed in Section B above, Respondent's argument that the proceeding should be dismissed on the ground that it constitutes a breach of contract action is rejected.

IV. Order

Upon consideration of the record and the arguments of the parties, it is hereby

ORDERED that Respondent's Motion to Dismiss the original complaint (Dkt. 7) is **DENIED** on the ground that it has been rendered moot by the filing of the Amended Complaint. It is

FURTHER ORDERED that Respondent's Motion to Dismiss the amended complaint (Dkt. 13) is **GRANTED IN PART** and that the claims under 46 U.S.C. §§ 41102(a) and 41102(b) are **DISMISSED**. It is

FURTHER ORDERED that a ruling on Respondent's Motion to Dismiss the amended complaint (Dkt. 13) is **DEFERRED IN PART** with respect to the claims under 46 U.S.C. §§ 40901, 40902, and 41102(c) to allow Complainant the opportunity to file a second amended complaint addressing the deficiencies specified herein without broadening the issues. It is

FURTHER ORDERED that Complainant be granted leave to file a second amended complaint in accordance with this order **no later than January 26, 2026**, and Respondent shall file a response **within 25 days of service** of the second amended complaint. If the second amended complaint cures the deficiencies specified herein, the motion to dismiss the amended complaint will be denied as moot. Otherwise, Respondent may renew its motion.

MARY A. HERVEY -S

Digitally signed by MARY A.

HERVEY -S

Date: 2026.01.16 14:02:28 -05'00'

Mary Apostolakos Hervey
Administrative Law Judge